

FILED 1st JUDICIAL DISTRICT COURT
Rio Arriba County
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KATHLEEN VIGIL CLERK OF THE COURT
Esmeralda Miramontes

**STATE OF NEW MEXICO
COUNTY OF RIO ARRIBA
FIRST JUDICIAL DISTRICT**

**FREDERICO MARTINEZ, and
CRYSTAL HOUSE,**

Plaintiffs,

v.

VILLAGE OF CHAMA,

Defendant.

~~No. D-117-CV-2023-~~_____

D-117-CV-2023-00056

Case assigned to Biedscheid, Bryan

VERIFIED COMPLAINT FOR DAMAGES AND INJUNCTIVE RELIEF

COMES NOW Plaintiffs FREDERICO MARTINEZ, and CRYSTAL HOUSE, by and through counsel New Mexico Legal Aid, Inc. (Corinna Laszlo-Henry, appearing) and respectfully submits this complaint seeking relief pursuant to the New Mexico Civil Rights Act, (NMSA 1978, § 41-4A-1 to 41-4A-13), and common law, from Defendants' unlawful acts, and omissions, which violate the due process and other clauses of the New Mexico constitution, and the terms of Defendant's lease and Admissions and Continued Occupancy Plan (ACOP), and in support thereof, Plaintiff states as follows:

REGULATORY BACKGROUND

1. The public housing program exists "to assist States and political subdivisions of States to remedy the unsafe housing conditions and the acute shortage of decent and safe dwellings for low-income families; [and] to address the shortage of housing affordable to low-income families[.]" 42 U.S.C. § 1437(a). The Village of Chama Housing Authority is a cooperative

venture between HUD and local public housing agencies, which oversee the day-to-day operations of the public housing program.

2. The United States Housing Act, 42 U.S.C. §1437(a)(1), requires that shelter costs for tenants residing in federally subsidized public housing projects do not exceed 30% of tenant income. Utilities are included in shelter costs. Where tenants are directly responsible for the payment of utility service, the supporting federal regulations require public housing authorities (PHAs) to provide the tenants with a utility allowance. 24 C.F.R. §§ 965.501 through 965.508.
3. In establishing the utility allowances, the PHA must approximate a reasonable consumption of utilities by an energy-conservative household of modest circumstances consistent with the requirements of a safe, sanitary, and healthful living environment. 24 C.F.R. §965.505(a). The PHA must annually review the utility allowances and make adjustments to reflect changes in the basis upon which the allowances are based. 24 C.F.R. §965.507(a). Additionally, where there is a change in the rates upon which the allowance is based of greater than 10%, the PHA must make interim adjustments to its allowances. 24 C.F.R. §965.507(b).
4. Adjustments to resident payments as a result of such changes shall be retroactive to the first day of the month following the month in which the last rate change taken into account in such revision became effective. Such rate changes shall not be subject to the 60 day notice requirement of § 965.502(c).
5. The Department of Housing and Urban Development (HUD) allowed PHAs to delay updating utility allowances that would have been due in calendar year 2020 during the

pandemic, however, these reviews were required to be completed by December 31, 2021.

PIH 2021-14, PIH 2021-34.

6. When the utility allowance is calculated properly, the total shelter costs for tenants who consume a reasonable amount of utilities or less do not exceed 30% of their income.
7. Residents for whom 30% of their monthly income is an amount *less than* the utility allowance established for their unit have a rent calculation that is negative, i.e. they receive a monthly check from the housing authority, which the residents can then use to pay third party utility providers for utility bills.
8. Pursuant to 42 U.S.C. §1437c, VCHA has entered into an Annual Contributions Contract (hereinafter ACC) with the U.S. Department of Housing and Urban Development (hereinafter HUD) that has been in full force and effect at all relevant times. Under the ACC, HUD makes annual contributions to subsidize the cost of operating and managing low-income public housing in the Village of Chama. *See* 42 U.S.C. §1437c and g.
9. In consideration for receiving financial assistance from HUD, VCHA agreed in the ACC to comply with HUD requirements for the development and operation of public housing. 24 C.F.R. §964.7.
10. Public housing tenants are the intended beneficiaries of the ACC between HUD and VCHA.
11. With respect to each of the constitutional violations alleged, it is specifically asserted that the New Mexico Constitution provides the same or greater protections of individual liberties and supplements the minimum protections afforded by the U.S. Constitution. *See State v. Gomez*, 1997-NMSC-006, ¶ 21, 122 N.M. 777 (adopting the interstitial approach to construction of the New Mexico Constitution). Each of the individual rights infringed upon touches on

matters of particular state interest or local concern, distinctive state characteristics, or undeveloped—or flawed—federal analogs.

FACTS

12. The Village of Chama Housing Authority is a component unit of Defendant, the Village of Chama, a municipal corporation.
13. Petitioners, Crystal House and Frederico Martinez are residents of public housing, residing at 423 Rio Del Oso St., Chama, NM.
14. Since 2013, Petitioners have lived in a two-bedroom unit that is owned and operated by the Village of Chama Housing Authority. Their household includes three minor children.
15. As a condition of their tenancy, Plaintiffs are required to report changes to their incomes and undergo annual reexamination to calculate tenant rent.
16. Mr. Martinez has done “odd jobs,” and provided labor to the housing authority, and was employed briefly at a local sandwich shop. Mr. Martinez has also been seeking a disability determination related to injuries sustained in an automobile accident.
17. Ms. House has worked part-time, seasonally from May until October, and has reported these fluctuations in her income to the housing authority.
18. On information and belief, these interim and annual re-examination rent calculations have resulted in a negative rent for most, if not all, months of the Petitioners’ residency.
19. Plaintiffs have not received this “negative rent,” or utility reimbursement in the form of a payment from the housing authority.
20. On information and belief, the Defendant has not reviewed or updated its PHA utility allowances since prior to 2016.
21. Natural gas prices have increased significantly since 2016.

22. On information and belief, on or about December 2, 2022, Defendant adopted a resolution and ordinance to increase the rates for utilities provided by it.
23. The Defendant's new water and sewer rates took effect in January of 2023, and represent a 300% increase in both water and sewer base-rate charges.
24. When adjusted for requirements of a safe, sanitary, and healthful living environment for a family of five, the increase in water and sewer rates is significantly more.

CLAIM I/ BREACH OF CONTRACT

25. Plaintiffs incorporates all paragraphs as though fully set forth herein.
26. By its actions in failing to furnish amounts due to the Plaintiffs under the lease agreement, and by charging rent in excess of 30% of tenant monthly income for rent, Defendant has breached the lease agreement.
27. By its actions in failing to furnish amounts due to the resident under the lease agreement, and by charging rent in excess of 30% of tenant monthly income for rent, Defendant has breached the Annual Contributions Contract (ACC).
28. Plaintiffs have suffered damages as a result of VCHA's breach, including but not limited to, monetary loss, loss of time and aggravation as well as housing conditions that did not meet basic standards of habitability.
29. Plaintiffs are also entitled to specific performance of the parties' reasonable expectations under the contract.

CLAIM II/ BREACH OF THE COVENANT OF GOOD FAITH AND FAIR DEALING

30. Plaintiffs incorporate all paragraphs as though fully set forth herein.
31. Defendant has sought to prevent the performance of its own contractual obligations, and to withhold the contractual benefits from Plaintiffs.

32. Plaintiffs have suffered damages as a result, including but not limited to, loss of time and aggravation as well as housing conditions that did not meet basic standards of habitability.
33. Plaintiffs are also entitled to specific performance of the parties' reasonable expectations under the contract.

**CLAIM III / DEPRIVATION OF RIGHTS AND PRIVILEGES SECURED BY THE
CONSTITUTION OF NEW MEXICO**

34. Plaintiffs incorporate all paragraphs as though fully set forth herein.
35. Defendant is a "public body" as defined in the New Mexico Civil Rights Act.
36. Defendant deprived Plaintiffs of significant property interests without due process of law when it failed to tender amounts due under the lease agreement, ACC, and ACOP, and when it failed and refused to timely conduct annual reviews of its utility allowance and reviews based upon increases in utility rates.
37. Plaintiffs have suffered losses as a result of Defendant's deprivations of their rights guaranteed under the New Mexico Constitution, and are entitled to compensatory and statutory damages, as well as injunctive relief

WHEREFORE, Crystal House and Frederico Martinez respectfully request that this Court order the Defendant to contract with a qualified vendor to undertake an immediate review of the PHA utility allowances and adopt said adjustments retroactively, award actual damages, special damages, civil penalties, attorney fees, and such other relief as justice requires.

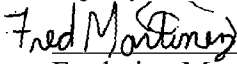
Respectfully submitted,

NEW MEXICO LEGAL AID, INC.
/s/ Corinna Laszlo-Henry
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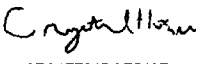
VERIFICATION

We, Frederico Martinez and Crystal House, depose and state that We are the Plaintiffs the above entitled cause, that we have read the foregoing Complaint, that we know the contents thereof, and that the same is true and correct, except as to those matters stated on information and belief, and as to those matters, we believe them to be true. Pursuant to Rule 1-011(B) NMRA, we hereby affirm under penalty of perjury under the laws of the State of New Mexico that the foregoing is true and correct to the best of our knowledge and belief.

DocuSigned by:

2281D98C4675106
Frederico Martinez

2/23/2023

Date

DocuSigned by:

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Crystal House

2/22/2023

Date